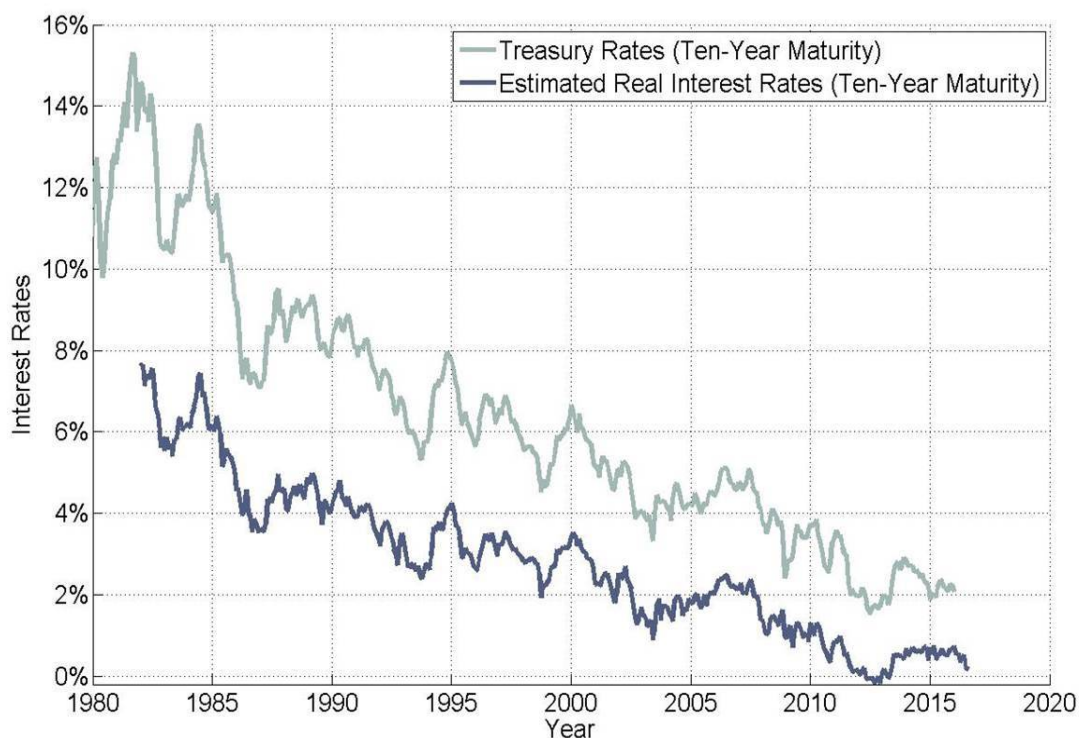


Before the introduction of TIPS, real interest rates were less transparent. They could be estimated only by first estimating what people believed inflation would be in the future.

Exhibit 7.5 provides the historical paths for ten-year Treasury rates and the estimated real interest rates on ten-year Treasuries since 1981, using the Cleveland Federal Reserve Bank's estimates of inflation expectations. Notice how the movement of the curves is almost parallel. The difference between them is the expected inflation rate. In 1981, real interest rates were close to 8 percent, while nominal interest rates exceeded 15 percent. Both have consistently decreased since that time, with real rates reaching their lowest levels in 2013.

Exhibit 7.5

Treasury Rates and Estimated Real Rates for Ten-Year Maturities



Source: The Federal Reserve Bank of Cleveland.